approach is easier and less error prone. This is not the case with commodity flow approach so it leads to difference in the GCF calculated by these two methods. The difference between the two approaches is taken as "errors and omissions".

Net capital inflow from ROW = Capital inflow from ROW to economic territory – Capital outflow from economic territory to ROW

B. Commodity Flow Approach

In commodity flow approach the GCF is estimated by the type of assets. There are three types of assets. They are:

a) Gross fixed capital
b) Inventories or change in stock
c) Valuables

B. a) Gross Fixed Capital

Gross fixed capital refers to fixed assets like buildings, plant and machinery used in production. Fixed assets are produced assets that are used repeatedly or continuously in production processes for more than one year. They are durable and put into productive use to produce goods and services. Fixed assets include not only structures, machinery and equipment but also cultivated assets such as trees or animals that are used repeatedly or continuously to produce other products such as fruit or dairy products. They also include intellectual property products such as software or artistic originals used in production.

b) Change in stock

Input materials to be used in production, semi-finished goods and unsold finished goods are called inventories.